

Table 49.11 Special Features

Description	Bull Market	Bear Market
Median pipe difference as percentage of breakout price	1%	2%
Difference > median, median performance	32%	22%
Difference <= median, median performance	29%	20%

What does this mean? As you look at your pipe, if the bottom of the two spikes do *not* share the same price (or aren't even close), then expect better performance. It might not happen, but that's the way to bet.

I checked other configurations of volume and spike length and so on, but this is the only idea showing promise.

Experience

Let me tell you about what I found in my trade review.

EMC

EMC (EMC) showed a pipe bottom in 2004. I bought the week after the pipe confirmed and again after a throwback completed (switching to the daily scale, for the second trade).

I scored the pipe and found it was +2 (for details, see my book, *Trading Classic Chart Patterns*, Wiley, 2002), meaning the pattern had a good chance of meeting the target price for the stock (not the measure rule target). I didn't log what the scoring system said for the target, but my target was 12 (with an entry price of 10.53).

The stock climbed but stalled just short of the prior high as it encountered overhead resistance.

It was time to sell.

General market weakness forced the stock down, and it hit my stop. It took me out of the trade at 13.53. I made 28% on the first trade and 23% on the